

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 1390

By: Jech of the Senate

and

Newton of the House

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7
8
9 An Act relating to gross production tax; amending 68
10 O.S. 2021, Section 1004, as last amended by Section
11 2, Chapter 490, O.S.L. 2025 (68 O.S. Supp. 2025,
12 Section 1004), which relates to apportionments;
13 modifying apportionments for certain fiscal years;
14 updating statutory language; updating statutory
15 reference; and providing an effective date.

16 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

17 SECTION 1. AMENDATORY 68 O.S. 2021, Section 1004, as
18 last amended by Section 2, Chapter 490, O.S.L. 2025 (68 O.S. Supp.
19 2025, Section 1004), is amended to read as follows:

20 Section 1004. A. As used in this section:

21 1. "Moving five-year average amount for gas" means, for
22 purposes of the apportionments prescribed by this section, the
23 amount of gross production tax on natural gas collected for each of
24 the five (5) complete fiscal years, as computed by the State Board

1 of Equalization pursuant to Section 34.103 of Title 62 of the
2 Oklahoma Statutes; and

3 2. "Moving five-year average amount for oil" means, for
4 purposes of the apportionments prescribed by this section, the
5 amount of gross production tax on oil collected for each of the five
6 (5) complete fiscal years, as computed by the State Board of
7 Equalization pursuant to Section 34.103 of Title 62 of the Oklahoma
8 Statutes.

9 B. Beginning July 1, 2017, the gross production tax provided
10 for in Section 1001 of this title is hereby levied and shall be
11 collected and apportioned as follows:

12 1. For all monies collected from the tax levied on asphalt or
13 ores bearing uranium, lead, zinc, jack, gold, silver or copper:

14 a. eighty-five and seventy-two one-hundredths percent
15 (85.72%) shall be paid to the State Treasurer ~~of the~~
16 ~~state~~ to be placed in the General Revenue Fund ~~of the~~
17 ~~state~~ and used for the general expense of state
18 government, to be paid out pursuant to direct
19 appropriation by the Legislature,

20 b. seven and fourteen one-hundredths percent (7.14%) ~~of~~
21 ~~the sum collected from natural gas and/or casinghead~~
22 ~~gas or asphalt or ores bearing uranium, lead, zinc,~~
23 ~~jack, gold, silver or copper~~ shall be paid to the
24 various county treasurers to be credited to the ~~County~~

1 ~~Highway Fund~~ county highway fund as follows: Each
2 county shall receive a proportionate share of the
3 funds available based upon the proportion of the total
4 value of production from such county in the
5 corresponding month of the preceding year, and

6 c. seven and fourteen one-hundredths percent (7.14%)
7 shall be allocated to each county as provided for in
8 subparagraph b of this paragraph and shall be
9 apportioned, on an average daily attendance per capita
10 distribution basis, as certified by the ~~State~~
11 Superintendent of Public Instruction to the school
12 districts of the county where such pupils attend
13 school regardless of residence of such pupil, provided
14 the school district makes an ad valorem tax levy of
15 fifteen (15) mills for the current year and maintains
16 twelve (12) years of instruction;

17 2. For all monies collected from the tax levied on natural gas
18 ~~and/or~~ and casinghead gas at a tax rate of seven percent (7%)
19 pursuant to the provisions of subsection B of Section 1001 of this
20 title:

21 a. after the total revenue apportioned to the General
22 Revenue Fund as prescribed by subparagraph b of this
23 paragraph equals the moving five-year average amount
24 for gas as defined by paragraph 1 of subsection A of

1 this section, there shall be apportioned from the
2 gross production tax levy imposed pursuant to Section
3 1001 of this title on natural gas ~~and/or~~ and
4 casinghead gas to the Revenue Stabilization Fund
5 created by Section 34.102 of Title 62 of the Oklahoma
6 Statutes, the amount of revenue, if any, which exceeds
7 the moving five-year average amount for gas as defined
8 pursuant to paragraph 1 of subsection A of this
9 section,

10 b. until the apportionment to the General Revenue Fund
11 equals the moving five-year average amount for gas as
12 prescribed by paragraph 1 of subsection A of this
13 section, eighty-five and seventy-two one-hundredths
14 percent (85.72%) shall be paid to the State Treasurer
15 ~~of the state~~ to be placed in the General Revenue Fund
16 ~~of the state~~ and used for the general expense of state
17 government, to be paid out pursuant to direct
18 appropriation by the Legislature,

19 c. before any other apportionment of revenue has been
20 made pursuant to this paragraph, seven and fourteen
21 one-hundredths percent (7.14%) of the sum collected
22 from natural gas ~~and/or~~ and casinghead gas shall be
23 paid to the various county treasurers to be credited
24 to the ~~County Highway Fund~~ county highway fund as

1 follows: Each county shall receive a proportionate
2 share of the funds available based upon the proportion
3 of the total value of production from such county in
4 the corresponding month of the preceding year, and
5 d. before any other apportionment of revenue has been
6 made pursuant to this paragraph, seven and fourteen
7 one-hundredths percent (7.14%) shall be allocated to
8 each county as provided for in subparagraph c of this
9 paragraph and shall be apportioned, on an average
10 daily attendance per capita distribution basis, as
11 certified by the ~~State~~ Superintendent of Public
12 Instruction to the school districts of the county
13 where such pupils attend school regardless of
14 residence of such pupil, provided the school district
15 makes an ad valorem tax levy of fifteen (15) mills for
16 the current year and maintains twelve (12) years of
17 instruction;

18 3. For all monies collected from the tax levied on natural gas
19 ~~and/or~~ and casinghead gas at a tax rate of four percent (4%)
20 pursuant to the provisions of subsection B of Section 1001 of this
21 title:

22 a. after the total revenue apportioned to the General
23 Revenue Fund as prescribed by subparagraph b of this
24 paragraph equals the moving five-year average amount

1 for gas as defined by paragraph 1 of subsection A of
2 this section, there shall be apportioned from the
3 gross production tax levy imposed pursuant to Section
4 1001 of this title on natural gas ~~and/or~~ and
5 casinghead gas to the Revenue Stabilization Fund
6 created pursuant to Section 34.102 of Title 62 of the
7 Oklahoma Statutes, the amount of revenue, if any,
8 which exceeds the moving five-year average amount for
9 gas as defined pursuant to paragraph 1 of subsection A
10 of this section,

11 b. until the apportionment to the General Revenue Fund
12 equals the moving five-year average amount for gas as
13 prescribed by paragraph 1 of subsection A of this
14 section, seventy-five percent (75%) shall be paid to
15 the State Treasurer ~~of the state~~ to be placed in the
16 General Revenue Fund ~~of the state~~ and used for the
17 general expense of state government, to be paid out
18 pursuant to direct appropriation by the Legislature,

19 c. before any other apportionment of revenue has been
20 made pursuant to this paragraph, twelve and one-half
21 percent (12.5%) of the sum collected from natural gas
22 ~~and/or~~ and casinghead gas shall be paid to the various
23 county treasurers to be credited to the ~~County Highway~~
24 ~~Fund~~ county highway fund as follows: Each county

1 shall receive a proportionate share of the funds
2 available based upon the proportion of the total value
3 of production from such county in the corresponding
4 month of the preceding year, and

- 5 d. before any other apportionment of revenue has been
6 made pursuant to this paragraph, twelve and one-half
7 percent (12.5%) shall be allocated to each county as
8 provided for in subparagraph c of this paragraph and
9 shall be apportioned, on an average daily attendance
10 per capita distribution basis, as certified by the
11 ~~State~~ Superintendent of Public Instruction to the
12 school districts of the county where such pupils
13 attend school regardless of residence of such pupil,
14 provided the school district makes an ad valorem tax
15 levy of fifteen (15) mills for the current year and
16 maintains twelve (12) years of instruction;

17 4. For all monies collected from the tax levied on natural gas
18 ~~and/or~~ and casinghead gas at a tax rate of one percent (1%) pursuant
19 to the provisions of subsection B of Section 1001 of this title:

- 20 a. fifty percent (50%) of the sum collected from natural
21 gas ~~and/or~~ and casinghead gas shall be paid to the
22 various county treasurers to be credited to the ~~County~~
23 ~~Highway Fund~~ county highway fund as follows: Each
24 county shall receive a proportionate share of the

1 funds available based upon the proportion of the total
2 value of production from such county in the
3 corresponding month of the preceding year, and
4 b. fifty percent (50%) shall be allocated to each county
5 as provided for in subparagraph a of this paragraph
6 and shall be apportioned, on an average daily
7 attendance per capita distribution basis, as certified
8 by the ~~State~~ Superintendent of Public Instruction to
9 the school districts of the county where such pupils
10 attend school regardless of residence of such pupil,
11 provided the school district makes an ad valorem tax
12 levy of fifteen (15) mills for the current year and
13 maintains twelve (12) years of instruction;

14 5. For all monies collected from the tax levied on natural gas
15 ~~and/or~~ and casinghead gas at a tax rate of two percent (2%) pursuant
16 to the provisions of paragraph 3 of subsection B of Section 1001 of
17 this title:

18 a. after the total revenue apportioned to the General
19 Revenue Fund as prescribed by subparagraph b of this
20 paragraph equals the moving five-year average amount
21 for gas as defined by paragraph 1 of subsection A of
22 this section, there shall be apportioned from the
23 gross production tax levy imposed pursuant to Section
24 1001 of this title on gas to the Revenue Stabilization

1 Fund created by Section 34.102 of Title 62 of the
2 Oklahoma Statutes, the amount of revenue, if any,
3 which exceeds the moving five-year average amount for
4 natural gas ~~and/or~~ and casinghead gas as defined
5 pursuant to paragraph 1 of subsection A of this
6 section,

7 b. until the apportionment to the General Revenue Fund
8 equals the moving five-year average amount for gas as
9 prescribed by paragraph 1 of subsection A of this
10 section, fifty percent (50%) shall be paid to the
11 State Treasurer to be placed in the General Revenue
12 Fund ~~of the state~~ and used for the general expense of
13 state government, to be paid out pursuant to direct
14 appropriation by the Legislature,

15 c. before any other apportionment of revenue has been
16 made pursuant to this paragraph, twenty-five percent
17 (25%) of the sum collected from natural gas ~~and/or~~ and
18 casinghead gas shall be paid to the various county
19 treasurers to be credited to the ~~County Highway Fund~~
20 county highway fund as follows: Each county shall
21 receive a proportionate share of the funds available
22 based upon the proportion of the total value of
23 production from such county in the corresponding month
24 of the preceding year, and

1 d. before any other apportionment of revenue has been
2 made pursuant to this paragraph, twenty-five percent
3 (25%) shall be allocated to each county as provided
4 for in subparagraph c of this paragraph and shall be
5 apportioned on an average daily attendance per capita
6 distribution basis, as certified by the ~~State~~
7 Superintendent of Public Instruction, to the school
8 districts of the county where such pupils attend
9 school regardless of residence of such pupil, provided
10 the school district makes an ad valorem tax levy of
11 fifteen (15) mills for the current year and maintains
12 twelve (12) years of instruction;

13 6. For all monies collected from the tax levied on oil at a tax
14 rate of seven percent (7%) pursuant to the provisions of subsection
15 B of Section 1001 of this title:

16 a. there shall be apportioned from the gross production
17 tax levy imposed pursuant to Section 1001 of this
18 title on oil to the Revenue Stabilization Fund created
19 by Section 34.102 of Title 62 of the Oklahoma
20 Statutes, after the applicable maximum amount
21 prescribed by subsection C of this section has been
22 deposited to the funds therein specified, the amount
23 of revenue, if any, which would otherwise be
24 apportioned to the General Revenue Fund and which

1 exceeds the moving five-year average amount for oil as
2 defined pursuant to paragraph 2 of subsection A of
3 this section,

4 b. before any other apportionment of revenue has been
5 made pursuant to this paragraph, twenty-five and
6 seventy-two one-hundredths percent (25.72%) shall be
7 paid to the State Treasurer to be placed in the Common
8 Education Technology Revolving Fund created in Section
9 34.90 of Title 62 of the Oklahoma Statutes,

10 c. before any other apportionment of revenue has been
11 made pursuant to this paragraph, twenty-five and
12 seventy-two one-hundredths percent (25.72%) shall be
13 paid to the State Treasurer to be placed in the Higher
14 Education Capital Revolving Fund created in Section
15 34.91 of Title 62 of the Oklahoma Statutes,

16 d. before any other apportionment of revenue has been
17 made pursuant to this paragraph, twenty-five and
18 seventy-two one-hundredths percent (25.72%) shall be
19 paid to the State Treasurer to be placed in the
20 Oklahoma Student Aid Revolving Fund created in Section
21 34.92 of Title 62 of the Oklahoma Statutes,

22 e. before any other apportionment of revenue has been
23 made pursuant to this paragraph, three and seven
24 hundred forty-five one-thousandths percent (3.745%)

1 shall be distributed to the various counties of the
2 state for deposit into the County Bridge and Road
3 Improvement Fund of each county based on a formula
4 developed by the Department of Transportation and
5 approved by the Department of Transportation County
6 Advisory Board created pursuant to Section 302.1 of
7 Title 69 of the Oklahoma Statutes to be used for the
8 purposes set forth in the County Bridge and Road
9 Improvement Act. The formula shall be similar to the
10 formula currently used for the distribution of monies
11 in the County Bridge Program funds, but shall also
12 take into consideration the effect of the terrain and
13 traffic volume as related to county road improvement
14 and maintenance costs,

15 f. before any other apportionment of revenue has been
16 made pursuant to this paragraph, four and twenty-eight
17 one-hundredths percent (4.28%) shall be paid to the
18 State Treasurer to be apportioned to:

19 (1) the following sources and in the following
20 amounts through the fiscal year ending ~~June 30,~~
21 ~~2027~~ June 30, 2032:

22 (a) thirty-three and one-third percent (33 1/3%)
23 to the Oklahoma Tourism and Recreation
24 Department Capital Expenditure Revolving

Fund created pursuant to Section 2254.1 of
Title 74 of the Oklahoma Statutes,

(b) thirty-three and one-third percent (33 1/3%)
to the Oklahoma Conservation Commission
Infrastructure Revolving Fund created
pursuant to Section 3-2-110 of Title 27A of
the Oklahoma Statutes, and

(c) thirty-three and one-third percent (33 1/3%)
to the Community Water Infrastructure
Development Revolving Fund created pursuant
to Section 1085.7A of Title 82 of the
Oklahoma Statutes, and

(2) the Oklahoma Water Resources Board Rural Economic
Action Plan Water Projects Fund for the fiscal
year beginning ~~July 1, 2027~~ July 1, 2032, and for
each fiscal year thereafter,

g. before any other apportionment of revenue has been
made pursuant to this paragraph, seven and fourteen
one-hundredths percent (7.14%) of the sum collected
from oil shall be paid to the various county
treasurers, to be credited to the ~~County Highway Fund~~
county highway fund as follows: Each county shall
receive a proportionate share of the funds available
based upon the proportion of the total value of

1 production from such county in the corresponding month
2 of the preceding year,

3 h. before any other apportionment of revenue has been
4 made pursuant to this paragraph, seven and fourteen
5 one-hundredths percent (7.14%) shall be allocated to
6 each county as provided in subparagraph g of this
7 paragraph and shall be apportioned, on an average
8 daily attendance per capita distribution basis, as
9 certified by the ~~State~~ Superintendent of Public
10 Instruction, to the school districts of the county
11 where such pupils attend school regardless of
12 residence of such pupil, provided the school district
13 makes an ad valorem tax levy of fifteen (15) mills for
14 the current year and maintains twelve (12) years of
15 instruction, and

16 i. before any other apportionment of revenue has been
17 made pursuant to this paragraph, five hundred thirty-
18 five one-thousandths percent (0.535%) of the levy
19 shall be transmitted by the Oklahoma Tax Commission to
20 the Statewide Circuit Engineering District Revolving
21 Fund as created in Section 687.2 of Title 69 of the
22 Oklahoma Statutes;
23
24

1 7. For all monies collected from the tax levied on oil at a tax
2 rate of four percent (4%) pursuant to the provisions of subsection B
3 of Section 1001 of this title:

4 a. there shall be apportioned from the gross production
5 tax levy imposed pursuant to Section 1001 of this
6 title on oil to the Revenue Stabilization Fund created
7 by Section 34.102 of Title 62 of the Oklahoma
8 Statutes, after the applicable maximum amount
9 prescribed by subsection C of this section has been
10 deposited to the funds therein specified, the amount
11 of revenue, if any, which would otherwise be
12 apportioned to the General Revenue Fund and which
13 exceeds the moving five-year average amount for oil as
14 defined pursuant to paragraph 2 of subsection A of
15 this section,

16 b. before any other apportionment of revenue has been
17 made pursuant to this paragraph, twenty-two and one-
18 half percent (22.5%) shall be paid to the State
19 Treasurer to be placed in the Common Education
20 Technology Revolving Fund created in Section 34.90 of
21 Title 62 of the Oklahoma Statutes,

22 c. before any other apportionment of revenue has been
23 made pursuant to this paragraph, twenty-two and one-
24 half percent (22.5%) shall be paid to the State

1 Treasurer to be placed in the Higher Education Capital
2 Revolving Fund created in Section 34.91 of Title 62 of
3 the Oklahoma Statutes,

4 d. before any other apportionment of revenue has been
5 made pursuant to this paragraph, twenty-two and one-
6 half percent (22.5%) shall be paid to the State
7 Treasurer to be placed in the Oklahoma Student Aid
8 Revolving Fund created in Section 34.92 of Title 62 of
9 the Oklahoma Statutes,

10 e. before any other apportionment of revenue has been
11 made pursuant to this paragraph, three and twenty-
12 eight one-hundredths percent (3.28%) shall be
13 distributed to the various counties of the state for
14 deposit into the County Bridge and Road Improvement
15 Fund of each county based on a formula developed by
16 the Department of Transportation and approved by the
17 Department of Transportation County Advisory Board
18 created pursuant to Section 302.1 of Title 69 of the
19 Oklahoma Statutes to be used for the purposes set
20 forth in the County Bridge and Road Improvement Act.
21 The formula shall be similar to the formula currently
22 used for the distribution of monies in the County
23 Bridge Program funds, but shall also take into
24 consideration the effect of the terrain and traffic

1 volume as related to county road improvement and
2 maintenance costs,

3 f. before any other apportionment of revenue has been
4 made pursuant to this paragraph, three and seventy-
5 five one-hundredths percent (3.75%) shall be paid to
6 the State Treasurer to be apportioned to:

7 (1) the following sources and in the following
8 amounts through the fiscal year ending ~~June 30,~~
9 ~~2027~~ June 30, 2032:

10 (a) thirty-three and one-third percent (33 1/3%)
11 to the Oklahoma Tourism and Recreation
12 Department Capital Expenditure Revolving
13 Fund created pursuant to Section 2254.1 of
14 Title 74 of the Oklahoma Statutes,

15 (b) thirty-three and one-third percent (33 1/3%)
16 to the Oklahoma Conservation Commission
17 Infrastructure Revolving Fund created
18 pursuant to Section 3-2-110 of Title 27A of
19 the Oklahoma Statutes, and

20 (c) thirty-three and one-third percent (33 1/3%)
21 to the Community Water Infrastructure
22 Development Revolving Fund created pursuant
23 to Section 1085.7A of Title 82 of the
24 Oklahoma Statutes, and

1 (2) the Oklahoma Water Resources Board Rural Economic
2 Action Plan Water Projects Fund for the fiscal
3 year beginning ~~July 1, 2027~~ July 1, 2032, and for
4 each fiscal year thereafter,

5 g. before any other apportionment of revenue has been
6 made pursuant to this paragraph, twelve and one-half
7 percent (12.5%) of the sum collected from oil shall be
8 paid to the various county treasurers, to be credited
9 to the ~~County Highway Fund~~ county highway fund as
10 follows: Each county shall receive a proportionate
11 share of the funds available based upon the proportion
12 of the total value of production from such county in
13 the corresponding month of the preceding year,

14 h. before any other apportionment of revenue has been
15 made pursuant to this paragraph, twelve and one-half
16 percent (12.5%) shall be allocated to each county as
17 provided in subparagraph g of this paragraph and shall
18 be apportioned on an average daily attendance per
19 capita distribution basis, as certified by the ~~State~~
20 Superintendent of Public Instruction, to the school
21 districts of the county where such pupils attend
22 school regardless of residence of such pupil, provided
23 the school district makes an ad valorem tax levy of
24

1 fifteen (15) mills for the current year and maintains
2 twelve (12) years of instruction, and

- 3 i. before any other apportionment of revenue has been
4 made pursuant to this paragraph, forty-seven one-
5 hundredths percent (0.47%) of the levy shall be
6 transmitted by the Tax Commission to the Statewide
7 Circuit Engineering District Revolving Fund as created
8 in Section 687.2 of Title 69 of the Oklahoma Statutes;

9 8. For all monies collected from the tax levied on oil at a tax
10 rate of one percent (1%) pursuant to the provisions of subsection B
11 of Section 1001 of this title:

- 12 a. fifty percent (50%) of the sum collected shall be paid
13 to the various county treasurers, to be credited to
14 the ~~County Highway Fund~~ county highway fund as
15 follows: Each county shall receive a proportionate
16 share of the funds available based upon the proportion
17 of the total value of production from such county in
18 the corresponding month of the preceding year, and

- 19 b. fifty percent (50%) shall be allocated to each county
20 as provided for in subparagraph a of this paragraph
21 and shall be apportioned on an average daily
22 attendance per capita distribution basis, as certified
23 by the ~~State~~ Superintendent of Public Instruction, to
24 the school districts of the county where such pupils

1 attend school regardless of residence of such pupil,
2 provided the school district makes an ad valorem tax
3 levy of fifteen (15) mills for the current year and
4 maintains twelve (12) years of instruction;

5 9. For all monies collected from the tax levied on oil at a tax
6 rate of two percent (2%) pursuant to the provisions of paragraph 3
7 of subsection B of Section 1001 of this title:

8 a. there shall be apportioned from the gross production
9 tax levy imposed pursuant to Section 1001 of this
10 title on oil to the Revenue Stabilization Fund created
11 by Section 34.102 of Title 62 of the Oklahoma
12 Statutes, the amount of revenue, if any, which exceeds
13 the moving five-year average amount for oil as defined
14 pursuant to paragraph 2 of subsection A of this
15 section,

16 b. until the apportionment to the General Revenue Fund
17 equals the moving five-year average amount for oil as
18 prescribed by paragraph 2 of subsection A of this
19 section, fifty percent (50%) shall be paid to the
20 State Treasurer to be placed in the General Revenue
21 Fund ~~of the state~~ and used for the general expense of
22 state government, to be paid out pursuant to direct
23 appropriation by the Legislature,
24

- 1 c. before any other apportionment of revenue has been
2 made pursuant to this paragraph, twenty-five percent
3 (25%) of the sum collected from oil shall be paid to
4 the various county treasurers, to be credited to the
5 ~~County Highway Fund~~ county highway fund as follows:
6 Each county shall receive a proportionate share of the
7 funds available based upon the proportion of the total
8 value of production from such county in the
9 corresponding month of the preceding year, and
- 10 d. before any other apportionment of revenue has been
11 made pursuant to this paragraph, twenty-five percent
12 (25%) shall be allocated to each county as provided in
13 subparagraph c of this paragraph and shall be
14 apportioned on an average daily attendance per capita
15 distribution basis, as certified by the ~~State~~
16 Superintendent of Public Instruction, to the school
17 districts of the county where such pupils attend
18 school regardless of residence of such pupil, provided
19 the school district makes an ad valorem tax levy of
20 fifteen (15) mills for the current year and maintains
21 twelve (12) years of instruction;

22 10. On or after June 28, 2018 and before July 1, 2025, the
23 gross production tax levied on natural gas or casinghead gas at the
24

1 rate of five percent (5%) provided for in paragraph 3 of subsection
2 B of Section 1001 of this title shall be apportioned as follows:

- 3 a. after the total revenue apportioned to the General
4 Revenue Fund as prescribed by subparagraph b of this
5 paragraph equals the moving five-year average amount
6 for gas as defined by paragraph 1 of subsection A of
7 this section, there shall be apportioned from the
8 gross production tax levy imposed pursuant to Section
9 1001 of this title on natural gas ~~and/or~~ and
10 casinghead gas to the Revenue Stabilization Fund
11 created pursuant to Section 34.102 of Title 62 of the
12 Oklahoma Statutes, the amount of revenue, if any,
13 which exceeds the moving five-year average amount for
14 gas as defined pursuant to paragraph 1 of subsection A
15 of this section,
- 16 b. until the apportionment to the General Revenue Fund
17 equals the moving five-year average amount for gas as
18 prescribed by paragraph 1 of subsection A of this
19 section, eighty percent (80%) shall be paid to the
20 State Treasurer ~~of the state~~ to be placed in the
21 General Revenue Fund ~~of the state~~ and used for the
22 general expense of state government, to be paid out
23 pursuant to direct appropriation by the Legislature,

1 c. before any other apportionment of revenue has been
2 made pursuant to this paragraph, ten percent (10%) of
3 the sum collected from natural gas ~~and/or~~ and
4 casinghead gas shall be paid to the various county
5 treasurers to be credited to the ~~County Highway Fund~~
6 county highway fund as follows: Each county shall
7 receive a proportionate share of the funds available
8 based upon the proportion of the total value of
9 production from such county in the corresponding month
10 of the preceding year,

11 d. before any other apportionment of revenue has been
12 made pursuant to this paragraph, ten percent (10%)
13 shall be allocated to each county as provided for in
14 subparagraph c of this paragraph and shall be
15 apportioned, on an average daily attendance per capita
16 distribution basis, as certified by the ~~State~~
17 Superintendent of Public Instruction to the school
18 districts of the county where such pupils attend
19 school regardless of residence of such pupil, provided
20 the school district makes an ad valorem tax levy of
21 fifteen (15) mills for the current year and maintains
22 twelve (12) years of instruction;

23 11. Beginning July 1, 2025, the gross production tax levied on
24 natural gas or casinghead gas at the rate of five percent (5%)

1 provided for in paragraph 3 of subsection B of Section 1001 of this
2 title shall be apportioned as follows:

- 3 a. after the total revenue apportioned to the General
4 Revenue Fund as prescribed by subparagraph b of this
5 paragraph equals the moving five-year average amount
6 for gas as defined by paragraph 1 of subsection A of
7 this section, there shall be apportioned from the
8 gross production tax levy imposed pursuant to Section
9 1001 of this title on natural gas ~~and/or~~ and
10 casinghead gas to the Revenue Stabilization Fund
11 created pursuant to Section 34.102 of Title 62 of the
12 Oklahoma Statutes, the amount of revenue, if any,
13 which exceeds the moving five-year average amount for
14 gas as defined pursuant to paragraph 1 of subsection A
15 of this section,
- 16 b. until the apportionment to the General Revenue Fund
17 equals the moving five-year average amount for gas as
18 prescribed by paragraph 1 of subsection A of this
19 section, forty percent (40%) shall be paid to the
20 State Treasurer ~~of the state~~ to be placed in the
21 General Revenue Fund ~~of the state~~ and used for the
22 general expense of state government, to be paid out
23 pursuant to direct appropriation by the Legislature,

- c. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) of the sum collected from natural gas ~~and/or~~ and casinghead gas shall be paid to the various county treasurers to be credited to the ~~County Highway Fund~~ county highway fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year,
- d. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) shall be allocated to each county as provided for in subparagraph c of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the ~~State~~ Superintendent of Public Instruction to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction, and
- e. before any other apportionment of revenue has been made pursuant to this paragraph, forty percent (40%)

1 shall be remitted to the State Treasurer to be
2 credited to the Preserving and Advancing County
3 Transportation Fund created in Section ~~1 of this act~~
4 508 of Title 69 of the Oklahoma Statutes, but in no
5 event shall the total amount apportioned in any fiscal
6 year pursuant to this subparagraph exceed Seventy-five
7 Million Dollars (\$75,000,000.00). Any amounts in
8 excess of Seventy-five Million Dollars
9 (\$75,000,000.00) shall be placed in the General
10 Revenue Fund ~~of the state~~ and used for the general
11 expense of state government, to be paid out pursuant
12 to direct appropriation by the Legislature; and

13 12. On or after June 28, 2018, the gross production tax on oil
14 levied at the rate of five percent (5%) provided for in paragraph 3
15 of subsection B of Section 1001 of this title shall be apportioned
16 as follows:

- 17 a. there shall be apportioned from the gross production
18 tax levy imposed pursuant to Section 1001 of this
19 title on oil to the Revenue Stabilization Fund created
20 by Section 34.102 of Title 62 of the Oklahoma
21 Statutes, after the applicable maximum amount
22 prescribed by subsection C of this section has been
23 deposited to the funds therein specified, the amount
24 of revenue, if any, which would otherwise be

1 apportioned to the General Revenue Fund and which
2 exceeds the moving five-year average amount for oil as
3 defined pursuant to paragraph 2 of subsection A of
4 this section,

5 b. before any other apportionment of revenue has been
6 made pursuant to this paragraph, twenty-three and
7 seventy-five one-hundredths percent (23.75%) shall be
8 paid to the State Treasurer to be placed in the Common
9 Education Technology Revolving Fund created in Section
10 34.90 of Title 62 of the Oklahoma Statutes,

11 c. before any other apportionment of revenue has been
12 made pursuant to this paragraph, twenty-three and
13 seventy-five one-hundredths percent (23.75%) shall be
14 paid to the State Treasurer to be placed in the Higher
15 Education Capital Revolving Fund created in Section
16 34.91 of Title 62 of the Oklahoma Statutes,

17 d. before any other apportionment of revenue has been
18 made pursuant to this paragraph, twenty-three and
19 seventy-five one-hundredths percent (23.75%) shall be
20 paid to the State Treasurer to be placed in the
21 Oklahoma Student Aid Revolving Fund created in Section
22 34.92 of Title 62 of the Oklahoma Statutes,

23 e. before any other apportionment of revenue has been
24 made pursuant to this paragraph, three and twenty-

1 eight one-hundredths percent (3.28%) shall be
2 distributed to the various counties of the state for
3 deposit into the County Bridge and Road Improvement
4 Fund of each county based on a formula developed by
5 the Department of Transportation and approved by the
6 Department of Transportation County Advisory Board
7 created pursuant to Section 302.1 of Title 69 of the
8 Oklahoma Statutes to be used for the purposes set
9 forth in the County Bridge and Road Improvement Act.
10 The formula shall be similar to the formula currently
11 used for the distribution of monies in the County
12 Bridge Program funds, but shall also take into
13 consideration the effect of the terrain and traffic
14 volume as related to county road improvement and
15 maintenance costs,

16 f. before any other apportionment of revenue has been
17 made pursuant to this paragraph, five percent (5%)
18 shall be paid to the State Treasurer to be apportioned
19 to:

20 (1) the following sources and in the following
21 amounts through the fiscal year ending ~~June 30,~~
22 ~~2027~~ June 30, 2032:

23 (a) thirty-three and one-third percent (33 1/3%)
24 to the Oklahoma Tourism and Recreation

1 Department Capital Expenditure Revolving
2 Fund created pursuant to Section 2254.1 of
3 Title 74 of the Oklahoma Statutes,

4 (b) thirty-three and one-third percent (33 1/3%)
5 to the Oklahoma Conservation Commission
6 Infrastructure Revolving Fund created
7 pursuant to Section 3-2-110 of Title 27A of
8 the Oklahoma Statutes, and

9 (c) thirty-three and one-third percent (33 1/3%)
10 to the Community Water Infrastructure
11 Development Revolving Fund created pursuant
12 to Section 1085.7A of Title 82 of the
13 Oklahoma Statutes, and

14 (2) the Oklahoma Water Resources Board Rural Economic
15 Action Plan Water Projects Fund for the fiscal
16 year beginning ~~July 1, 2027~~ July 1, 2032, and for
17 each fiscal year thereafter,

18 g. before any other apportionment of revenue has been
19 made pursuant to this paragraph, ten percent (10%) of
20 the sum collected from oil shall be paid to the
21 various county treasurers, to be credited to the
22 ~~County Highway Fund~~ county highway fund as follows:
23 Each county shall receive a proportionate share of the
24 funds available based upon the proportion of the total

- 1 value of production from such county in the
2 corresponding month of the preceding year,
- 3 h. before any other apportionment of revenue has been
4 made pursuant to this paragraph, ten percent (10%)
5 shall be allocated to each county as provided in
6 subparagraph g of this paragraph and shall be
7 apportioned on an average daily attendance per capita
8 distribution basis, as certified by the ~~State~~
9 Superintendent of Public Instruction, to the school
10 districts of the county where such pupils attend
11 school regardless of residence of such pupil, provided
12 the school district makes an ad valorem tax levy of
13 fifteen (15) mills for the current year and maintains
14 twelve (12) years of instruction, and
- 15 i. before any other apportionment of revenue has been
16 made pursuant to this paragraph, forty-seven one-
17 hundredths percent (0.47%) of the levy shall be
18 transmitted by the Tax Commission to the Statewide
19 Circuit Engineering District Revolving Fund as created
20 in Section 687.2 of Title 69 of the Oklahoma Statutes.

21 C. Provided, notwithstanding any other provision of this
22 section, the total amounts deposited to the Common Education
23 Technology Revolving Fund, the Higher Education Capital Revolving
24 Fund, the Oklahoma Student Aid Revolving Fund, the Rural Economic

1 Action Plan Water Projects Fund, the Oklahoma Tourism and Recreation
2 Department Capital Expenditure Revolving Fund, the Oklahoma
3 Conservation Commission Infrastructure Revolving Fund and the
4 Community Water Infrastructure Development Revolving Fund pursuant
5 to paragraphs 6, 7 and ~~11~~ 12 of subsection B of this section shall
6 not exceed One Hundred Fifty Million Dollars (\$150,000,000.00) in
7 any fiscal year.

8 Except as otherwise provided in this subsection, all sums in
9 excess of One Hundred Fifty Million Dollars (\$150,000,000.00) in any
10 fiscal year which would otherwise be deposited in such funds shall
11 be apportioned by the Oklahoma Tax Commission to the General Revenue
12 Fund ~~of the state~~.

13 SECTION 2. This act shall become effective November 1, 2026.

14
15 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
16 04/23/2026 - DO PASS.
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